

1114L

Management Studies Tripos

**ELECTIVE MODULE
COURSEWORK**

MSE12

STRATEGIC MANAGEMENT

Course Leader: Dr. Kamal Munir

Hand-in date:
26 March 2020
12 noon

2206

(Word count limit as advised by course leader)

I confirm that this piece of work is my own unaided effort and
conforms with the Judge Business School guidelines on Plagiarism

(Do NOT sign)

Introduction

This report will explain how the hybrid hotel (hybrids) segment of the hospitality industry can navigate the disruption of Covid-19 to emerge in a stronger position than traditional hotel models (hotels) and disrupters like Airbnb.

Hybrids combine value drivers from both hotels and hostels, with a focus on delivering social experiences and using space creatively (Folgado, 2020). They are well-placed to capitalise on shifting consumer attitudes. Additionally, the pandemic has exposed the risk incumbents have taken by providing a one-dimensional offering. Awareness of the need for revenue diversification has become more colloquial, and the hybrid model addresses this need.

The Pandemic's Impact on Hotels

The regulatory and behavioural changes following the Covid-19 pandemic have caused a global recession. The hospitality industry has been one of the worst affected, for two reasons.

One requirement for a hotel to succeed is a flow of travellers into its vicinity (Kumar, 2016). With governments imposing border controls to restrict the virus' spread, the number of international arrivals in 2020 fell to 381m, from 1.5bn in 2019 (UNWTO, 2020). Secondly, even when international travel is allowed, would-be customers are averse to the risk of infection or having to quarantine, thus are less likely to travel. This explains Forbes' (2020) finding that only 56% of U.S. adults would fly within two months of all restrictions being lifted.

Consequently, the hotel industry has suffered immensely, with revenue per room available in European hotels falling by between 89% and 64% in 2020 (Pastras, 2020). The decade-low industry insolvency rates (Price Bailey, in Thatcher, 2020) are being suppressed by massive policy stimuli, for example the UK's furlough scheme. When these are discontinued, firms that have relied upon them for survival will be vulnerable.

Adapt, Improvise, Overcome

Some hotels have reduced their dependence on these schemes by repurposing to attract new customers. These examples show how the hybrid segment could establish itself in the market.

25hours hotels, a German chain, is repurposing its rooms into Covid-secure offices while overnight stays are not allowed (Business Traveller, 2020). Customers are enticed with coffee machines, Bluetooth speakers and high-speed Wi-Fi. This move supported the firm's stagnating cash flow, and helped develop its brand awareness. Similarly, Radisson hotels has marketed its conference rooms as hubs which can connect to one another to facilitate virtual meetings for corporate clients, emphasising its professional service and setting.

More innovative is the "Buy Now, Stay Later" campaign, through which hotels are offering zero-coupon bonds to travellers for current purchase. These bonds mature at a higher value, bringing forward cash flows to hotels with low working capital and compensating travellers for the risk involved in the purchase amidst Covid uncertainty.

Shifting Market Conditions

These innovations are supported by Covid-19's effect on consumer preferences. Understanding these trends will help hybrids model themselves to create value for customers.

The way people work has changed, largely due to new lockdown laws. As remote working increased during 2020, managers' fears that productivity would drop were alleviated, cost-efficiencies were realised (GWA, 2020) and workers, particularly in knowledge sectors, wish to retain the option of remote working (Slack, 2020). Therefore the percentage of permanent remote workers will rise from 16.4% to 34.4% in 2021 (World Economic Forum, 2020). Whilst this trend is not ubiquitous – 44% of the U.S. workforce holding jobs incompatible with remote working (GWA, 2020) – the general trend creates opportunities for the hybrid sector.

The hybrid's value proposition becomes even more attractive when considering the knock-on effects on consumer behaviours. Slow travel, where tourists stay longer in one location for an immersive experience, is growing in popularity. Rooted in sustainable tourism (Remote Year, 2021), the movement is growing in line with environmental awareness. Linking this trend to Covid-19, assuming some additional border controls remain, consumers might be incentivised to take longer holidays based in just one location. Indeed, 30% of trips booked through Opodo's engine for Q1 2021 are longer than 15 days.

At the intersection of remote working and slow travel lies a growing "digital nomad" consumer segment, composed of permanent remote workers capitalising on their locational flexibility by spending extended periods of time abroad. 25% of those surveyed by Airbnb believed they will have the option to join this segment post-pandemic (Stay the Night, 2020). An increasing number of countries now offer "Digital Nomad" visas for these workers, for example Iceland, Georgia, and Caribbean nations (Oliver, 2021).

Despite the benefits of remote working, 74% of UK workers aged under 38 have experienced loneliness this year (TotalJobs, 2020). Remote working is accelerating this "loneliness epidemic" amongst young professionals according to Dunbar (2020), who finds that work is the main medium of socialisation for young graduates. Further, 20% of Deloitte's (2020) survey respondents felt isolated working from home, and 16% did not have a designated workspace. From an employer's perspective, some in-person work may remain necessary, with face-to-face interactions critical for maintaining culture and conducting complex discussions (ibid).

Success in the New Market

The rise of remote working, slow travel and digital nomads creates a myriad of opportunities for hybrids. These segments have different needs to tourists for whom the holiday is just a holiday. The hybrid can position itself as a work-cation for remote workers, and a place to live, work and play for extended stay travellers.

The tension between remote working and loneliness is an issue to which hybrids can be the solution, by offering co-working spaces in its model. This would benefit employers through reduced costs and increased contractual flexibility, which in turn allows increased flexibility to find its own optimum balance of in-person vs remote working. Employees benefit as they can separate their workplace from their home, utilise office facilities whilst on holiday, and share knowledge with other professionals (Workplace, 2017). For the hybrid, providing co-working space will induce local consumption, and creates potential to cross-sell to increase its share of the customer's wallet and extract more revenue.

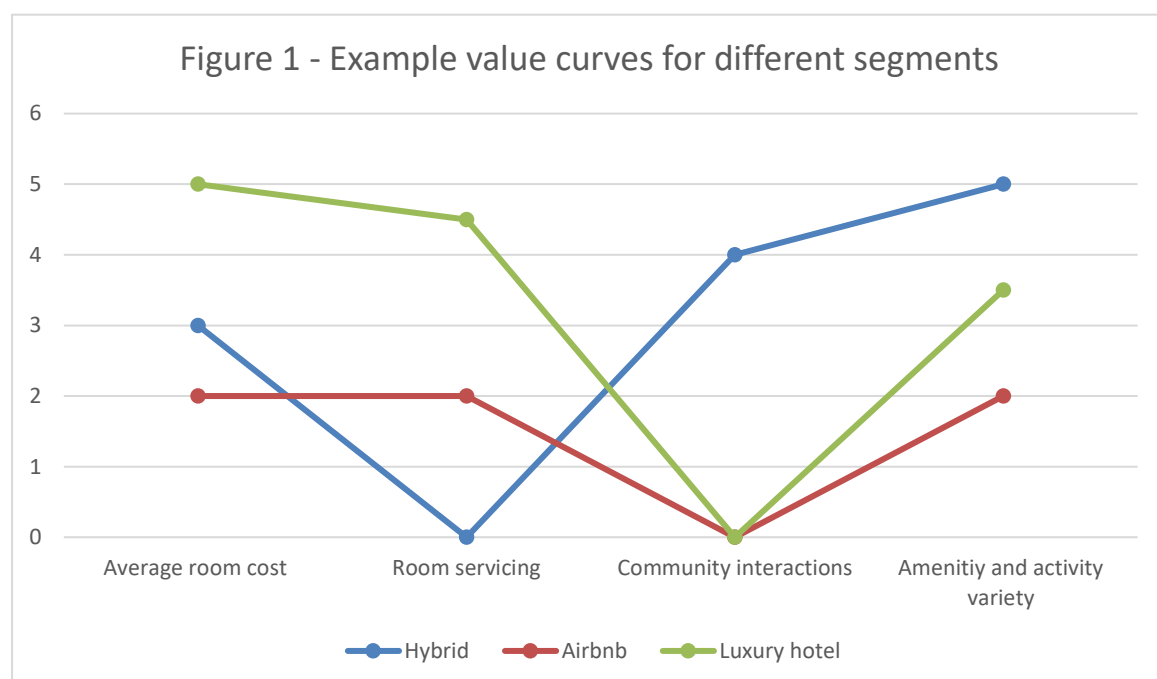
However, these benefits may not outweigh the costs of providing requisite infrastructure and facilities. A cost-benefit analysis will be needed, which amongst other things should consider incumbents in the local co-working market.

Additionally, the loneliness epidemic felt by a generation of young professionals, coupled with a growing focus on wellbeing, paves the way for hybrids to provide guests with the social experiences they are craving. This can be done through interior designing to encourage socialisation, whether through spacious and comfortable lobbies (Carlino, 2017) or seating arrangements in cafes and restaurants. These interactions can be semi-formalised through the provision of group classes designed to provide unique social experiences (Stay the Night, 2020). Further, these classes and experiences can position the hybrid as an important link between tourists and locals, if hybrids employ local specialist staff to lead classes, arrange intimate tours by leveraging local connections, etc. This can provide guests with a more immersive and integrative experience, fulfilling the needs of slow traveller and digital nomads, and can also increase brand awareness locally, encouraging local consumption.

Overall, hybrids can satiate new tastes by providing reasonably priced rooms and a combination of spaces and facilities which offer privacy and community. Where hybrids offer unique combinations of these facilities, they can simultaneously meet the needs of multiple consumer segments. This diversifies revenue streams, reducing risk exposure to Covid-19, and creates strong potential for cross-selling, perhaps even to embody an all-inclusive centre for living, working, and socialising.

This also creates a new value curve, in line with the Blue Ocean framework of reduce, eliminate, raise, and add (Kim, 2004). Figure 1 shows one way this could be achieved. Hybrids can offer lower prices than luxury hotels if located in outer-city suburbs, whilst largely removing room service and its associated costs, particularly for long-lease rooms. Simultaneously, they add a new competing factor of community – whether through leisure or co-working – lacking in Airbnbs, and offer a much wider range of amenities.

Another principle of Blue Ocean strategy is breaking the price-value trade-off. Focusing on food and beverage, offering high-quality shared meals on a fixed menu is an effective way of reconciling quality with affordability for customers, with the socialisation component creating additional value. Further, offering low-cost, niche, genuine, local delicatessens is another way to bend this trade-off, creating value for customers seeking a deeper connection with local cultures, at minimal cost.



Building a Covid-proof Strategy

To achieve medium term success, the hospitality industry must make facilities Covid-secure to ensure compliance, entice nervous consumers, and reduce the risk of Covid outbreaks. Briefly, general policies which might be considered include:

- 1) A vaccine passport. Though recently authorised by the UK's Vaccine Minister, this is not viable for hybrids targeting younger professionals and tourists, who will typically be amongst the last to receive vaccines from their governments (European Commission, 2020).
- 2) Encouraging staff to live on site can achieve higher capacity utilisation rates if consumer confidence is slow to rise, and should reduce the risk of staff contracting the virus.
- 3) Management of customer flow and interactions. Other service sectors have implemented one-way systems to reduce contacts, temperature scans in lieu of testing, and protective screens to reduce the risk of transmission.

However, the emphasis hybrids place on socialisation makes them especially vulnerable, so they must develop a Covid-proof strategy beyond the sum of these ideas. Several principles should govern the creation of such a strategy. The first is understanding and categorising staff and customer contacts based on value added and transmission risk. This will allow informed decisions about whether to remove, modify or maintain contact types.

Hybrids can also Covid-proof by harnessing technology to blend in-person and online community activities. This idea could be extended to develop "alumni" networks of recent guests who are integrated into online activities, incentivised by special perks for future visits. This could draw upon the principles of the Buy Now, Stay Later campaign by offering different discount levels for different periods of future consumption, to smooth demand.

With effective marketing, this feature can develop the hybrid's community offering, allowing hybrids to become central nodes within social ecosystems by creating and maintaining connections, both virtually and through its leisure and work facilities.

Protecting its value drivers will preserve the competitive advantage hybrids can hold over incumbents owing to their reduced reliance on tourism and increased revenue diversification. This also provides a strong base upon which to build a Covid-proof strategy. And whilst hotels like Radisson have moved to diversify, these are temporary lifelines lacking sufficient investment, thus will lose out to hybrids who integrate these amenities as core business functions. The principle is simple – with respect to Covid-19, mitigating each model's specific weaknesses will allow its strengths to create a competitive advantage.

Further Strategic Challenges

Even if hybrids can successfully Covid-proof themselves, there are other factors that might attenuate the segment's growth.

Creating an effective marketing strategy is crucial for firms targeting multiple segments. If hybrids are not careful, their customer heterogeneity will result in marketing campaigns which overload customers with non-specific information. This may fail to incentivise consumption, given that 80% of consumers are more likely to purchase when brands offer personalised experiences (Epsilon, 2018). Here, hybrids can leverage data to deliver multiple marketing messages in a cost-effective manner, for example stratifying email communications using customer data (e.g. occupation, location). This allows the hybrid to offer a personalised package, from the point of advertising to consumption.

Focusing externally, the extent to which hybrids can proliferate geographically will be determined by their competitiveness versus incumbents in different settings. The hybrid model will be less competitive with Airbnb outside urban areas, as it will have a higher break-even sales level due to its cost structure (higher rent and sourcing costs). That said, hybrids are less reliant on tourism as they can induce local consumption of their offices, restaurants, and community classes. This should give hybrids a competitive advantage over incumbents in urban areas with a lower propensity of inward tourism.

Finally, the hybrid segment will not engulf the hospitality industry for the same reason it will be successful – it offers a different value curve to incumbents. Even accounting for the shifting consumer trends outlined, there will remain segments that derive greater value from incumbents. For example, rising global incomes will sustain some demand for luxury hotels, and introverted customers may always prefer the privacy of a hotel or small Airbnb.

Conclusion

Hybrid hotels can use space creatively to capture market share from incumbents, as well as create new markets. Ultimately, the hybrid's key strength, diversity, will be its weakness in the absence of a focused, effective strategy.

Firms should seek to attract a diverse range of customers through effective marketing, and meet their needs through a tailored portfolio of amenities and experiences. This portfolio should offer more diversity than hotels and Airbnbs, and contain mutually reinforcing components, with synergies between costs, revenues, and value creation. This will enable hybrids to capitalise on shifting consumer trends, capturing as much of incumbents' customer base as possible. Hybrids should strive to utilise Blue Ocean strategy canvasses to position themselves as central nodes in an eco-system. This will allow hybrids to:

- Increase revenue diversification relative to incumbents, reducing reliance on tourism and thus vulnerability to Covid-19.
- Grow their share of consumers' wallet, by positioning themselves as an all-inclusive hub of living, leisure, and work.

Bibliography

BBC (2020). *Coronavirus: How the world of work may change forever*. Available at: <https://www.bbc.com/worklife/article/20201023-coronavirus-how-will-the-pandemic-change-the-way-we-work> (Accessed: 05/03/21).

BBC (2021). *Covid-19: Rapid testing available to all businesses in England*. Available at: <https://www.bbc.co.uk/news/uk-56302489> (Accessed: 21/03/21).

Business Traveller (2020). *25 Hours Hotels launches 'home offices'*. Available at: <https://www.businesstraveller.com/business-travel/2020/04/05/25-hours-hotels-launch-home-offices/> (Accessed: 14/03/21).

Buy Now, Stay Later (2020). *Help Support Our Hotel Friends*. Available at: <https://buynowstaylater.com/> (Accessed: 12/03/21).

Carlino, N. (2017). Interaction & integration: the now – and future – of hotel lobbies, *Hotel Business*, September 7 [online]. Available at: <https://togo.hotelbusiness.com/article/interaction-integration-the-now-and-future-of-hotel-lobbies/> (Accessed: 16/03/21).

Deloitte (2020). *How Covid-19 contributes to a long-term boost in remote working*. Available at: <https://www2.deloitte.com/ch/en/pages/human-capital/articles/how-covid-19-contributes-to-a-long-term-boost-in-remote-working.html> (Accessed: 12/03/21).

Epsilon (2018). *New Epsilon research indicates 80% of consumers are more likely to make a purchase when brands offer personalized experiences*. Available at: <https://us.epsilon.com/pressroom/new-epsilon-research-indicates-80-of-consumers-are-more-likely-to-make-a-purchase-when-brands-offer-personalized-experiences> (Accessed 19/03/21).

European Commission (2020). *EU Vaccines Strategy*. Available at: https://ec.europa.eu/info/live-work-travel-eu/coronavirus-response/public-health/coronavirus-vaccines-strategy_en (Accessed: 14/03/21).

Folgado, A. (2020). Hybrid Hospitality | A blend of hotel and co-working office space, *Colliers*, 8 September [online]. Available at: https://www.colliers.com/en-es/news/hotel-hibridos_np (Accessed: 03/03/21).

Global Workplace Analytics (2020). *Work-At-Home After Covid-19 – Our Forecast*. Available at: <https://globalworkplaceanalytics.com/work-at-home-after-covid-19-our-forecast> (Accessed: 12/03/21).

Kim, C. W. and Mauborgne, R. (2004) "Blue Ocean Strategy." *Harvard Business Review*, 82(10): pp. 76-84.

Kumar, S. and Raveendra, P. V. (2016). 'A Study on the Impact of Tourism Industry on Hotel Industry in Karnataka State', *Advances in Economics and Business Management*, 3(7), P.711. Available at: [http://www.krishisanskriti.org/vol_image/15Dec201607122830%20%20%20%20%20%20%20%20%20Santhosh%20Kumar%20S%20\(in%20journal%2020710-715.pdf](http://www.krishisanskriti.org/vol_image/15Dec201607122830%20%20%20%20%20%20%20%20%20Santhosh%20Kumar%20S%20(in%20journal%2020710-715.pdf)

Oliver, H. (2021). *These dreamy destinations want to give you a visa to work remotely*. Available at: <https://www.timeout.com/news/these-dreamy-destinations-want-to-give-you-a-visa-to-work-remotely-120220> (Accessed 19/03/21).

Pastras, P. (2020). Hybrid accommodation: How hotels are pivoting to create new revenue streams, *Toposophy*, 18 November [online]. Available at: <http://www.toposophy.com/insights/insight/?bid=512> (Accessed: 12/03/21).

Radisson (2020). *Virtual and hybrid meeting solutions in EMEA*. Available at: <https://www.radissonhotels.com/en-us/meeting-conference-hotels/types/video-conferencing> (Accessed: 15/03/21).

Reed, D. (2020). 'The Data Say Fear Of COVID-19 Will Hamper The Travel Industry's Recovery For Years', *Forbes*, 14 May [online]. Available at: <https://www.forbes.com/sites/danielreed/2020/05/14/the-data-say-the-fear-of-covid-19--will-hamper-the-travel-industrys-recovery-for-years/?sh=353c4608103f> (Accessed: 15/03/21).

Remote Year (2021). *What is slow travel? And how to do it*. Available at: <https://www.remoteyear.com/blog/what-is-slow-travel#:~:text=Slow%20travel%20is%20an%20approach,local%20communities%20and%20the%20environment> (Accessed: 13/03/21).

Robin Dunar: Emeritus Professor of Experimental Psychology, UoOX

Slack (2020). *Moving beyond remote: Workplace transformation in the wake of Covid-19*. Available at: <https://slack.com/intl/en-gb/blog/collaboration/workplace-transformation-in-the-wake-of-covid-19> (Accessed: 12/03/21).

Stay the Night (2020). *INDUSTRY INSIGHTS – IS HYBRID HOSPITALITY THE FUTURE OF THE INDUSTRY?* Available at: <https://staythenight.net/2020/09/14/industry-insights-hybrid-hospitality/> (Accessed: 29/02/21).

Thatcher, N. (2020). 'Number of hospitality business insolvencies 'lowest for a decade'', *Morning Advertiser*, 4 August [online]. Available at: <https://www.morningadvertiser.co.uk/Article/2020/08/04/How-many-hospitality-businesses-have-gone-bust-in-2020-so-far> (Accessed: 10/03/21).

The Workplace Co (2017). *What is a coworking space?* Available at: <https://www.theworkplacecompany.co.uk/what-is-a-coworking-space.html> (Accessed: 13/03/21).

TotalJobs (2020). *Lockdown loneliness & the collapse of social life at work*. Available at: <https://www.totaljobs.com/advice/lockdown-loneliness-the-collapse-of-social-life-at-work> (Accessed: 15/03/21).

UNWTO (2020). *2020: A year in review*. Available at: <https://www.unwto.org/covid-19-and-tourism-2020> (Accessed: 18/03/21).

World Economic Forum (2020). *The number of permanent remote workers is set to double in 2021*. Available at: <https://www.weforum.org/agenda/2020/10/permanent-remote-workers-pandemic-coronavirus-covid-19-work-home> (Accessed: 12/03/21).

Zeffman, H. and Smyth, C. (2021). 'Covid vaccine passports up to each business, says minister', *The Times*, 16 February [online]. Available at: <https://www.thetimes.co.uk/article/third-of-social-care-workers-have-not-yet-been-vaccinated-against-covid-86vvzxcv5> (Accessed: 20/03/21).